ASPIDA RE

2025 Financial Condition Report

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Executive Summary

Aspida Life Re Ltd. (the "Company" or "Aspida Re") was registered as a Class C insurer on July 5, 2011 under the Insurance Act 1978 of Bermuda (the "Insurance Act"). The Company registered with the Bermuda Monetary Authority (the "Authority") as a Class E (re)insurer from a Class C (re)insurer on December 18, 2020 in accordance with the Insurance Act. The name change from F&G Reinsurance Ltd to Aspida Life Re Ltd. was effective on December 18, 2020.

Business and Performance

Aspida Re is a Bermuda-based long-term reinsurer focused on reinsurance solutions in the retirement marketplace. The Company provides reinsurance coverage primarily for fixed annuities, multi-year guaranteed annuities, guaranteed investment contracts and fixed indexed annuities written in the United States and Asia-Pacific markets.

The Company's financial strength ratings are A- from both AM Best and Kroll Bond Rating Agency.

As of December 31, 2025, the Company reported statutory total assets of $13.8bn. During 2025, the Company continued to grow its U.S. and Asia-Pacific franchises, with the addition of a further Japanese cedant. The Company's business strategy remains focused on disciplined growth, policyholder protection, prudent asset-liability management, and maintenance of capital at levels consistent with regulatory, rating agency and contractual expectations. The Company is a trusted partner in its clients' long-term financial growth strategies, delivering creative, customized solutions while driving business and supporting the communities it serves.

Governance Structure

The Company maintains a governance framework intended to provide clear accountability, appropriate segregation of duties, and effective oversight across the Board, Board Committees and management. The framework is supported by enterprise risk management, internal control, compliance, actuarial, and internal audit functions and is reviewed periodically for continued appropriateness given the size, nature and complexity of the business ensuring adherence to the Authority's requirements defined in the Insurance Code of Conduct, enhanced regulatory standards for commercial (re)insurers, and the Insurance Act.

Further details of the Company's governance structure and framework are provided in Section 2.

Risk Profile

At Aspida Re, we are committed to excellence in all that we do, and this extends to all facets of our operations, including risk management. Our risk strategy is embedded across Aspida Holdings Ltd. and all direct and indirect subsidiaries, including the Company (collectively, the "Group"), by ensuring that risk is at the forefront of our day-to-day decisions – from how we manage our business, to how challenges and opportunities are assessed. Our framework serves as a fundamental guide that underscores our dedication to safeguarding the interests of our policyholders, cedents and other stakeholders.

The Group's Enterprise Risk Management ("ERM") framework establishes a formal, systematic and integrated approach to identifying, managing and monitoring risks within the organization. The Company has adopted a Three Lines of Defense Model based on a comprehensive Group-wide enterprise risk taxonomy and consists of numerous processes and controls that have been designed by management, with oversight by the Board of Directors and its Committees, and implemented by employees across the organization.

The Company's risk management framework is implemented and integrated into its operations through systems, processes, procedures and controls developed by management. The Risk function, Internal Audit and third-party consultants review the controls in place to ensure they are effective, providing recommendations to the Board on a quarterly basis. The Group also has a thorough collection of Group risk management policies that undergo periodic review and approval.

Solvency Valuation

Assets and Liabilities have been valued in accordance with the Bermuda Monetary Authority ("BMA")'s Economic Balance Sheet ("EBS") valuation principles. Further details of the methodology, assumptions, and valuation bases for assets and liabilities used to determine the Company's regulatory solvency position are provided in Section 4 of this report.

Capital Management

The capital requirements are determined under the BMA's EBS framework. The Enhanced Capital Requirement ("ECR") represents the Transitional Bermuda Solvency Capital Requirement ("BSCR"), which reflects the 10-year linear grade-in period to fully transition from the 'old' 2018 BSCR methodology to the 'new' 2019, together with the recently introduced 2024 methodology.

Aspida Re's regulatory solvency position as of December 31, 2025 and 2024 is outlined in the tables below:

ECR Requirement (in $millions)	2025	2024
Transition Enhanced Capital Requirement (TECR)	628	499
Economic Capital and Surplus	1,251	1,029

MSM Requirement (in $millions)	2025	2024
Minimum Margin of Solvency (MSM)	209	188
Economic Capital and Surplus	1,251	1,029

Transitional BSCR ratio	2025	2024
Transitional BSCR ratio	200%	206%

As of December 31, 2025, Aspida Re's available Statutory Economic Capital and Surplus was $1,251mm with a solvency ratio of 200%. As of December 31, 2025, eligible capital of $1,251mm is categorized as follows:

Eligible Capital (in $millions)	2025
Tier 1 Capital	1,101
Tier 2 Capital	—
Tier 3 Capital	150

1 Business and Performance

1.1 Name of insurer

Aspida Life Re Ltd

1.2 Insurance supervisor

Bermuda Monetary Authority
BMA House
43 Victoria Street,
Hamilton HM12
Bermuda

1.3 Approved auditor

GAAP and Statutory Reporting
EY Bermuda Ltd.
3 Bermudiana Road,
Hamilton HM08
Bermuda

1.4 Ownership details

Aspida Re is a Bermuda incorporated and regulated company. At December 31, 2025 the Company was a wholly owned subsidiary of Aspida Bermuda Holdings Ltd., an intermediate holding company incorporated and domiciled in Bermuda. Aspida Bermuda Holdings Ltd. is itself a wholly owned subsidiary of Aspida Holdings Ltd., a Cayman Islands exempted company.

1.5 Group structure

Aspida Holdings Ltd. and its subsidiaries form part of the Aspida Group, which is ultimately indirectly controlled by Ares Management Corporation (NYSE: ARES) ("Ares"). The Board of Directors of the Company provides governance and oversight of the Company.

The Group structure is shown in the Appendix.

1.6 Insurance business written

The Company primarily offers reinsurance coverage for long-term business, focusing on annuity business, including fixed annuities, multi-year guaranteed annuities and fixed index annuities.

The majority of Aspida Re's existing business consists of deferred annuity business which is accounted for under deposit accounting rules for US GAAP. Gross deposits collected with respect to the deferred annuity business were approximately $1.8bn in 2025 and $2.1bn in 2024.

Gross deposits originated from the US, Japan and Puerto Rico.

Gross Written Business is as follows:

Line of Business (in $millions)	2025	2024
Fixed Annuity business	1,806	2,149
Total	**1,806**	**2,149**

Gross Written Business by Region:

Geographical Region (in $millions)	2025	2024
North America	1,538	2,047
Asia-Pacific	268	102
Total	**1,806**	**2,149**

1.7 Investments, material income & expenses for the reporting period

The Company's financial performance is materially influenced by the composition and valuation of its investment portfolio and by broader market conditions, including interest rates, credit spreads, equity market performance and liquidity conditions. The Company seeks to manage these exposures through a diversified investment strategy, disciplined asset-liability management, and governance over portfolio construction relative to reinsured liabilities and capital requirements.

The Company invests in a combination of high-quality, diversified fixed income securities, preferred stock, and investment funds, seeking to preserve flexibility around credit, asset liability management, and the liquidity profile.

The Company's diversified investment strategy seeks to achieve risk-adjusted returns through the prudent management of our investment portfolio against our liability outflows, whilst balancing the portfolio in consideration of asset risk capital requirements and the potential for associated asset diversification benefits.

<u>**Performance of Investments for the Reporting Period**</u>

A summary of the investment income and realized gains for the year ending December 31, 2025 and December 31, 2024 is outlined in the following tables:

Investment Gains ($'000s)	2025	2024
Fixed maturity AFS securities:		
Realized gains on investment activity	127	711
Realized losses on investment activity	(52)	(885)
Net gains (losses) on AFS	**75**	**(174)**
Derivative gains, net	35,109	36,417
Embedded derivatives gains, net	820,601	751,044
Investment fund gains	2,304	49,303
Impairments on AFS securities	—	(155)
Total investment related gains, net	**858,089**	**836,435**

Total Investment Income has increased during the year ended December 31, 2025, as a result of the growing book of assets held on the balance sheet of Aspida Re.

Changes in investment-related gains primarily reflect fluctuations in the fair value of assets supporting our funds withheld and modified coinsurance reinsurance arrangements. These assets are generally measured at fair value, while the associated liabilities are typically measured at policyholder account value. As a result, period-to-period movements in reported investment gains may reflect accounting valuation changes rather than the underlying economics of the business.

These agreements are considered to have embedded derivatives which require us to reflect these changes in asset fair value in earnings as they occur.

Material Income & Expenses for the Reporting Period

The Company's primary source of revenue is investment income from fixed income securities and returns from the Company's investment funds. The Company's major expenses include interest credited to policyholders on fixed and index annuities, policy maintenance, and employee related expenses.

The following table presents operating expenses incurred during the reported periods:

Policy and Other Operating Expenses ($'000s)	2025	2024
Policy-related expenses	56,749	53,241
Other operating expenses	28,708	25,671
Total Policy and Other Operating Expenses	**85,457**	**78,912**

1.8 Any other material information

In August 2023, the government of Bermuda announced plans to implement a corporate income tax ("Bermuda CIT") that would be effective for tax years beginning on or after January 1, 2025, as applicable, and would include similar guidelines to the Pillar II Global Minimum Tax rules. The Bermuda government subsequently issued formal legislation in December 2023 that implemented a Bermuda CIT rate of 15% for in-scope entities.

The Company has evaluated the impact that this legislation has on its financial statements for the years ended December 31, 2025 and December 31, 2024 based on information available at the financial statement date and has recorded tax related values, where applicable. The Company does not expect to be a Pillar II taxpayer based on current facts and circumstances and expects to be an applicable taxpayer for Bermuda CIT by 2030.

December 31, 2025 and December 31, 2024 impacts include the recording of a deferred tax asset for GAAP reporting based on provisions in the Bermuda CIT legislation, which allows for an opening tax benefit for historical losses or opening intangible assets.

In accordance with guidance issued by the BMA, December 31, 2025 and December 31, 2024 deferred tax assets, linked to the Bermuda CIT legislation, are included for the statutory and EBS positions.

Effective August 2025, the Group became subject to group supervision by the Bermuda Monetary Authority under the Bermuda Insurance Act 1978. As Group Supervisor, the Bermuda Monetary Authority oversees the Group's solvency, governance and risk management on a consolidated basis.

2 Governance Structure

The Company has instituted a resilient governance framework encompassing a Board of Directors (the "Board"), Committees, and management structure to oversee the Company's activities. Our governance model is designed to effectively manage the inherent risks in our business, aligning with applicable laws and regulations. We are dedicated to upholding the highest standards of corporate governance.

2.1 Board and senior executives

2.1.1 Board and senior executive structure, roles, responsibilities and segregation of responsibilities

Company Board

The Board is responsible for the overall stewardship of the Company. Its responsibilities include approving strategy, overseeing management performance, establishing the Company's risk appetite, overseeing capital and liquidity adequacy, and monitoring the effectiveness of internal control, compliance and risk management arrangements. The Board meets at least quarterly.

The charter of the Board identifies several areas that are reserved for the Board. These include:

- Structure and capital
- Internal Controls, Compliance and Risk Management
- Financial reporting and controls
- Shareholder communication
- Board membership and related matters
- Remuneration
- Conflicts of Interest

The Aspida Re Board comprises seven members. The Board currently has two representatives of Ares (the controlling person of the group), four independent directors and the CEO of Aspida Re.

The Aspida Re Board has an appropriate number and mix of directors to ensure that it has requisite experience, knowledge, skills and expertise commensurate with the Company's business, scale and complexity. The Board ensures the business is run in line with strong corporate governance principles.

In accordance with international best practices and the Authority's requirements defined in the Insurance Code of Conduct, enhanced regulatory standards on commercial (re)insurers and the Insurance Act, the Company has established and maintains a sound corporate governance and risk management framework.

The Board has formalized this framework, together with all relevant guidelines, procedures, and controls, which are annually reviewed to ensure they remain appropriate given the size and complexity of the business.

The Company is further committed to establishing a governance framework that allows for appropriate segregation of risk ownership, oversight, and assurance responsibilities.

The members of the Board, both individually and collectively:

- act in good faith, honestly and reasonably
- exercise due care and diligence
- ensure stakeholders' interests are protected
- exercise independent judgment and objectivity in decision making; and
- ensure appropriate policies and procedures are in place to effectively deal with conflicts of interest.

Except as otherwise noted below, as of December 31, 2025, the Board comprises the persons listed in the below table. Biographical information for the members of the Board is set forth in Section 2.2.2 of this document.

Company Board	
Andrew Cook	Chairman & Independent Non-Executive Director
Peter Birkey	Independent Non-Executive Director
Jim Hunt	Independent Non-Executive Director
Elinor Friedman	Independent Non-Executive Director (appointed effective January 1, 2025)
Blair Jacobson	Ares Director
Anton Feingold	Ares Director
David Florian	Chief Executive Officer, Aspida Re Executive Director

In performing its oversight responsibilities, the Board has established five Committees (each with its own charter), comprising members of the Board and other executive management to assist the Board in carrying out the duties set forth above.

Board Committees	Audit & Compliance	Assists the Board in its independent oversight of the financial reporting and compliance processes related to Aspida Re. The Audit Committee will review the effectiveness of the respective accounting functions and internal financial controls; the independent audit process, the controls for monitoring compliance with applicable laws and regulations affecting financial reporting, operations, and the code of ethics.
	Risk	The Committee oversees the following responsibilities; 1. Assist the Board and Audit and Compliance Committee in fulfilling their oversight responsibilities for the enterprise risk management function; 2. Identify and evaluate risks inherent in the relevant company's business, strategy, or operating plans; 3. Oversee the development and implementation of systems, processes, and policies designed to manage and mitigate risks; 4. Reviews and analyze appropriateness of stress test assumptions, limits and balance sheet impacts; and 5. Engage in such activities as it deems necessary or appropriate in connection with the foregoing.
	Investment	The primary purpose of the Investment Committee of Aspida Re is to oversee the investment performance and management of the company, oversee the performance of third-party investment managers and to make recommendations to the Board of Directors in connection with investment guidelines, strategies, objectives, policies, standards, asset allocations, and/or governing principles, and financing activities. The Committee oversees the following responsibilities; (a) responsibility for the investment policy and strategy; (b) oversight of the investment portfolio; (c) ensuring compliance with any applicable Investment Compliance Policy; and (d) oversight third-party investment managers.
	Executive	The primary purpose of the Executive Committee is to act with the full authority of the Board of Directors. However, the Executive Committee cannot act on any matters that: 1. Are expressly delegated to other committees of the Board of Directors; 2. Are under active review by the Board of Directors or another committee of the Board of Directors; or 3. The organizational documents of the Company state cannot be delegated by the Board of Directors to a committee of such Board.

At December 31, 2025 Aspida Re's executive management team comprises five positions: Chief Executive Officer ("CEO"), Chief Operations Officer ("COO"), Deputy Chief Risk Officer, Deputy Chief Actuary and Senior VP Investments. Management is responsible for the day-to-day operations of the Company, including implementation of the ERM framework, underwriting and pricing, transaction execution, performance monitoring and oversight of asset management activities.

Executive management Team	
David Florian	Chief Executive Officer
Jenny Kane	Chief Operating Officer, Compliance Officer, Principal Representative & Money Laundering Reporting Officer
Sheetal Chhiba	Deputy Chief Risk Officer
Marielle Beaulieu	Deputy Chief Actuary
Henry Yim	Senior Vice President, Investments

During 2025, Jon Steffen (previously Chief Actuary) was appointed Chief Financial Officer effective August 20, 2025, replacing Andrew Preston, who resigned effective August 20, 2025. Jon Steffen subsequently resigned effective November 19, 2025. Following his resignation, the finance function continued to operate under the oversight of the Chief Executive Officer and Group Finance pending appointment of a successor. Marielle Beaulieu was appointed Deputy Chief Actuary effective September 1, 2025 and Henry Yim was appointed Senior Vice President, Investments effective July 28, 2025.

2.1.2 Remuneration

The Company has a remuneration policy designed to support its strategic objectives, risk appetite and long-term interests while enabling it to attract, retain and reward appropriately qualified individuals. The policy is intended not to encourage excessive or inappropriate risk-taking.

The Compensation Committee is appointed by the Board of Directors of Aspida Holdings Ltd. to review and make recommendations regarding the Group's overall compensation philosophy, policies, and objectives. This includes evaluating the appropriate level of compensation for Board and Committee service by independent non-executive directors.

The Board is responsible for establishing and implementing an effective remuneration policy that provides for specific remuneration packages and conditions of employment. In determining such packages and conditions, the Board must consider the relevant corporate governance principles and performance of the business and relevant business units.

The Board must ensure that the appropriate systems and processes are in place for review of the succession, evaluation and remuneration packages of the Board and Senior Management. These procedures include:
(a) role evaluation and methodology in relation to remuneration levels;

(b) performance evaluation frameworks, which align with the Company's objectives and provide for ongoing training to facilitate improvement;
(c) guidelines for fixed and performance-based elements of each remuneration package;
(d) appropriate disclosure of relevant information in a timely manner; and
(e) controls to ensure compliance with all applicable laws, regulations and internal policies and procedures.

2.1.3 Pension or early retirement schemes for members and senior employees

Aspida Re abides by pension legislation for Bermudian and Spouse of Bermudian employees.

For Bermudians and Spouses of Bermudians, contributions are made to third-party defined contributory retirement plans. Deposits are based on a percentage of pensionable earnings (e.g., salary, bonuses, and other required factors) and governed by the plan rules in place at the time. Once contributions have been paid for the relevant contributory period, Aspida Re has no further payment obligation, as the benefit assets in the plan are held separately from the Company and managed by a third-party administrator (Bermudian insurance company) in the form of a Bermuda government approved group policy issue.

All non-Bermudian employees receive an equivalent employer benefit to that above as cash in lieu.

2.1.4 Any material transactions with shareholder controllers, persons who exercise significant influence, the board or senior executives

The Company enters into certain transactions with its ultimate parent company, Ares, its affiliates, and other third-parties.

The Conflict Committee comprises independent non-executive directors of the Company and the Company's insurance affiliates. The Conflict Committee reviews all related-party agreements ("Related-Party transactions") and conflict of interest situations ("Conflicts") involving the Company or any of its affiliates to ensure the terms are consistent with the Conflicts of Interest Policy. The Company considers and approves transactions where a related party may have a direct or indirect financial interest. Related persons include any of the Company's directors, director nominees or executive officers, certain of its shareholders and their respective immediate family members. A conflict of interest occurs when an individual's private interest interferes, or appears to interfere, in any way with the Company's interests.

The Company's Code of Conduct requires directors, officers and employees to disclose actual, potential or apparent conflicts promptly to Aspida Holdings' Chief Legal Officer and the Conflict Committee. Annual confirmations of compliance with the Code of Conduct are obtained.

During the year ended December 31, 2025, the Company received capital contributions totaling $200.0mm from Aspida Holdings Ltd.

The Company pays asset management fees to its affiliated asset manager, Ares Insurance Solutions LLC ("AIS"), in accordance with the Investment Management Agreement ("IMA") discussed further in Section 2.7.1. During the year ended December 31, 2025, the Company incurred management fees of $38.5mm related to the IMA and this amount is included in net realized gains and losses on the statement of income. The Company also has investment transactions with companies which are affiliated with the Company's ultimate parent.

2.2 Fitness and propriety requirements

2.2.1 Fit and proper process in assessing the board and senior executives

The Board and relevant officers hold the primary responsibility for ensuring that the Company is suitably managed and directed. Accordingly, it is of paramount importance that members of the Board and relevant officers have integrity and are suitable as these individuals can have significant and direct impact on the Company's safety, soundness and reputation.

Aspida Re has adopted a policy that sets forth fitness and propriety matters when considering whether a person is appropriate for the position to which they have been appointed, as well as ensuring the person continues to be fit and proper for that position. In determining whether a person is a fit and proper person to hold any particular position, regard shall be had to such person's probity, competence and soundness of judgment for fulfilling the responsibilities of that position, to the diligence with which such person is fulfilling or likely to fulfil those responsibilities.

The assessment of fitness and propriety covers the following factors:

- Character and integrity
- Experience and competence
- Time and commitment for Board and Committee Members
- Independence (only applicable to the appointment and re-appointment of an Independent Director)

The Company appoints members of the Board based on the individual's skill set, expertise, knowledge, and work experience as well as professional judgment and recommendations from those individuals who are professionally familiar with the proposed Board member. Senior Management works with an outsourced third-party and the Human Resources department of the affiliated Aspida Financial Services, LLC ("AFS") to hire senior and middle management and other staff to ensure there is sufficient expertise to achieve their respective area goals. The Human Resources department arranges background screening and other support for all hires to ensure appropriate organizational alignment.

2.2.2 Qualifications, skills and expertise of Board and Company officers

The following sets forth certain information concerning the Company's Board of Directors and executive officers as of December 31, 2025:

Directors

Andrew Cook, *Chairman & Independent Non-Executive Director; Bermuda Resident*

Mr. Cook was most recently the Chief Executive Officer of GreyCastle Life Reinsurance, a Bermuda based entity that participated in the life reinsurance space. Mr. Cook has more than

35 years of financial and operational experience having started his career as a Chartered Accountant in Toronto. As the founding CFO of three startup reinsurance entities in Bermuda, he was responsible for all capital market activities including debt and equity financing, SEC reporting, investor relations and M&A. He has a proven track record of bringing private companies to the public markets having lead successful IPO's at LaSalle Re, Axis Capital and Global Partner Acquisition Corp. While serving as the President and CFO of Harbor Point he structured its merger with Alterra Capital. Following the merger, he served as President of Alterra Bermuda.

Peter Birkey, *Independent Non-Executive Director*

Mr. Birkey currently provides strategic consulting advice on business strategy, environmental, social & governance (ESG), asset allocation, enterprise risk management (ERM), investments and personnel. He recently served on the board of Pretivm Resources (NYSE: PVG), where he chaired the Corporate Governance and Nominating Committee, and was a member of the Audit Committee. He previously was Executive Vice President of public markets, special situations, real estate and strategy, where his teams managed the assets across the global footprint of Liberty Mutual. Prior to that, he was Senior Vice President of investment and risk management at Amerus Capital management. Mr. Birkey has served on boards of energy, mining and real estate companies in Europe, South America, Canada and the United States. He is a Chartered Financial Analyst (CFA), and obtained a Masters of Business Administration degree with highest honors from the University of Chicago, and a Bachelor of Arts in Economics and Business Administration from Coe College.

Jim Hunt, *Independent Non-Executive Director*

Mr. Hunt serves as Non-Executive Chairman of the Board of Hunt Companies, Inc., a national real estate and infrastructure firm based in El Paso, TX. From November 2015 until August 2016, Mr. Hunt served as the Managing Partner and CEO, Middle Market Credit at Kayne Anderson Capital Advisors, LLC, an alternative investment firm based in Los Angeles.

From August 2014 to November 2015, Mr. Hunt served as Non-Executive Chairman of the Board of THL Credit, Inc., an externally-managed, non-diversified closed-end management investment company. Mr. Hunt was the Founder, CEO, and Chief Investment Officer of THL Credit, Inc. and of THL Credit Advisors, a registered investment advisor that provided administrative services to THL Credit, Inc., from April 2010 to July 2014. He held similar executive positions with predecessor entities beginning in May 2007. Previously, he served as CEO and Managing Partner of Bison Capital Asset Management, LLC, a multi-fund private equity firm, from 2001 to 2007.

Prior to co-founding Bison Capital, Mr. Hunt held senior leadership positions at SunAmerica, where he was President of SunAmerica Corporate Finance and Executive Vice President of SunAmerica Investments (later AIG SunAmerica). He was with Citibank/Citicorp from 1975 through 1989 with his last responsibilities serving as Far West Area Head of Leveraged Capital with the designation of Senior Credit Officer.

Currently, Mr. Hunt serves on the Board of Directors of PennyMac Financial Services, Inc. (NYSE: PFSI) and is also a board member of Cartiga, a specialty finance firm, as well as Aspida Holdings/Aspida Re, where he chairs the Investment Committee. His previous board roles include serving on the boards of Ares Dynamic Credit Allocation Fund Inc., CION Ares Diversified Credit Fund, THL Credit, Inc., THL Credit Advisors, Primus Guaranty, Ltd., Fidelity National Information Services, Inc., Lender Processing Services, Inc. and Falcon Financial, Inc.

In addition to his professional accomplishments, Mr. Hunt remains actively involved in his community. He serves on the boards of the Jackson Hole Historical Society & Museum, the Friends of Pathways, and St. John's Health, where he holds the position of Treasurer, all located in Jackson, WY.

Mr. Hunt received his BBA from the University of Texas at El Paso and an MBA from the Wharton School of the University of Pennsylvania.

Blair Jacobson, *Ares Director*

Mr. Jacobson is a Partner and Co-President of Ares Management Corporation. He is a Co-Chair of the Ares Operating Committee and is a member of the Ares Enterprise Risk Committee. Additionally, he serves on the boards of Ares Management Limited and Ares Management UK Limited. Mr. Jacobson also serves on the Ares Credit Group's European Direct Lending and European Liquid Credit Investment Committees, the Ares Secondaries Group's Credit Investment Committee and the Ares Sports, Media and Entertainment Investment Committee. Previously, Mr. Jacobson served as Co-Head of European Credit until 2025. Prior to joining Ares in 2012, Mr. Jacobson was a Partner at The StepStone Group, where he focused on building and running European operations, including oversight of private debt and equity investments. Previously, Mr. Jacobson was a Partner at Citigroup Private Equity and Mezzanine Partners in London and New York. In addition, he has held a variety of roles in investment banking and mergers and acquisitions in a broad range of industries, including at Lehman Brothers. Mr. Jacobson holds a B.A., magna cum laude, from Williams College in Political Economy and an M.B.A., with honors, from the University of Chicago Booth School of Business in Finance.

Elinor Friedman, *Independent Non-Executive Director.* (appointed effective January 1, 2025)

Ms. Friedman is an accomplished actuary with extensive experience in financial analysis, modeling, and product design within the insurance industry.

Ms. Friedman has worked with insurance companies to design and price life insurance products, evaluate reinsurance transactions, and develop mortality assumptions for both new and in-force business. She has also advised on enterprise risk management programs, conducted due diligence for acquisitions, and provided expert litigation support in disputes involving universal life policies and reinsurance. Additionally, she has served as an appointed actuary for both onshore and offshore captives.

Prior to her consulting career, Ms. Friedman was a product actuary at General American, where she played a key role in designing, pricing, and implementing traditional and non-traditional life products. She also gained experience in reinsurance pricing and treaty monitoring during her time at RGA/Swiss Financial Group.

Ms. Friedman holds a Bachelor of Science in Mathematics from Concordia University and a Master of Science in Mathematics from the University of Ottawa. She is a Fellow of the Society of Actuaries (FSA) and a Member of the American Academy of Actuaries (MAAA). A recognized thought leader in the industry, she previously chaired the SOA's Product Development Section Council and has been a frequent speaker at life insurance industry conferences.

Anton Feingold, *Ares Director*

Mr. Feingold is a Partner and Associate General Counsel in the Ares Legal Group and Assistant Secretary of Ares Management Corporation. He is also the General Counsel, Vice President and Secretary of Ares Commercial Real Estate Corporation and Vice President and Assistant Secretary of CION Ares Diversified Credit Fund. Prior to joining Ares, Mr. Feingold worked at Clifford Chance from 2004 to 2014, where he was a Senior Associate. Mr. Feingold graduated from University of Birmingham with a Bachelor of Laws (LL.B Honors) and received a Postgraduate Diploma in Legal Practice at BPP University in London.

David Florian, *Aspida Re Executive Director & Chief Executive Officer*

Mr. Florian is a seasoned reinsurance professional – over three decades of industry experience – with an impressive history of building reinsurance businesses and solutions that have serviced the top insurance and reinsurance companies globally. He joined the Aspida Re team as Chief Executive Officer in 2022 from PartnerRe Ltd., where he was Head of Global Life Financial Solutions. While at PartnerRe Ltd., he built and oversaw the Global Financial Solutions business, leading an international team from North America, Europe, and Asia-Pacific regions. Prior to that, he worked at Wells Fargo Corporation for over 16 years, serving in several executive positions and building a successful Bermuda reinsurance company that focused on reinsurance solutions for larger life and annuity carriers. He is an associate in the Society of Actuaries and a member of the American Academy of Actuaries. He holds a Bachelor of Arts from Indiana University and is also a graduate of the University of North Carolina's Executive Leadership Program.

Company Officers

Jon Steffen, Former Chief Financial Officer *& Principal Representative*

Jon Steffen, former CFO resigned, effective November 19, 2025. Prior to his resignation, Jon was appointed CFO, effective August 20, 2025. Jon Steffen joined the Company as the President of Aspida Re in June 2021 and took on the additional role of Chief Actuary in 2023. Mr. Steffen brings over a decade of Bermuda Life/Annuity reinsurance experience to the team. Jon focuses on oversight of the finance and actuarial functions, including enhancing Aspida Re's capital and risk management solutions offerings to its various clients. Most recently Mr. Steffen served as the Approved Actuary for the Athene Bermuda companies and led the Valuation and Risk Modeling function. Jon has also held various leadership roles at Athene and ACE.

Mr. Steffen holds a B.Sc. from University of Illinois at Urbana-Champaign in Actuarial Science. Mr. Steffen is a Fellow of the Society of Actuaries (FSA) and Member of the American Academy of Actuaries (MAAA).

Jenny Kane, *Chief Operating Officer & Principal Representative*

As Chief Operations Officer (COO) of Aspida Re, Jenny Kane brings over 20 years of hedge fund and banking experience, broad expertise in operations and risk management, and over 10 years working in the Bermuda market to the Aspida Re team. Previously, she was Global Head of Operational Risk, Group Operating Officer Asset Management and Chief Administration Officer at Butterfield Bank and Global Head of Projects and Initiatives, Head of Operations at Mitsubishi UFJ Fund Services, both located in Bermuda. She is based out of Aspida Re's office in Hamilton, Bermuda.

Ms. Kane holds a B.Sc. with Honors from Glasgow University. She also holds designations in anti-money laundering from the International Compliance Association and is a member of Association of Certified Anti-Money Laundering Specialists (ACAMS).

Sheetal Chhiba, *Deputy Chief Risk Officer*

Sheetal Chhiba joined the Aspida Re leadership team in 2022 as the Deputy Chief Risk Officer. She brings over 14 years of insurance experience across Bermuda, the UK, and South Africa, with a strong mix of consulting and industry expertise. Sheetal is pivotal in shaping Aspida's enterprise risk framework to drive growth and strengthen long-term resilience. Previously, she served as Deputy Chief Risk Officer at Enhanzed Re and held senior roles at Ernst & Young Bermuda, Prudential PLC, and Deloitte, specializing in enterprise risk management, Bermuda regulatory reporting, and audit. She is based out of Aspida Re's office in Hamilton, Bermuda.

She is a Fellow of the Actuarial Society of South Africa and attended the University of the Witwatersrand, Johannesburg, graduating with a Bachelor of Science in Actuarial Science.

Marielle Beaulieu, *Deputy Chief Actuary*

Marielle Beaulieu joined Aspida Re in 2022, and currently serves as Deputy Chief Actuary, bringing nearly a decade of actuarial expertise in the life and annuity insurance industry. Using her strong focus on leadership, governance and strategic oversight, she currently leads core actuarial functions across pricing, modeling and financial reporting. She has extensive experience across Bermuda, the US, Canada and Japan, with a proven track record of ensuring compliance with complex and evolving regulatory frameworks.

She is a qualified actuary with a B.Sc., Actuarial Science, Laval University. Marielle is a Fellow of the Society of Actuaries (FSA) and the Canadian Institute of Actuaries (FCIA).

Henry Yim, *Senior Vice President, Investments*

Henry Yim is Head of Investments at Aspida Re. Prior to joining Aspida, he spent 17 years at New York Life, where he held leadership roles in Investment & Hedging, Asset-Liability Management, and Modeling & Analytics, most recently serving as Head of Investment Strategy. Earlier in his career, Henry worked as an investment actuary at Prudential, The

Hartford, and AIG. He is a Fellow of the Society of Actuaries and a CFA charter holder

Henry holds a Master of Engineering in Operations Research from Cornell University and a Bachelor of Science in Actuarial Science from The University of Hong Kong.

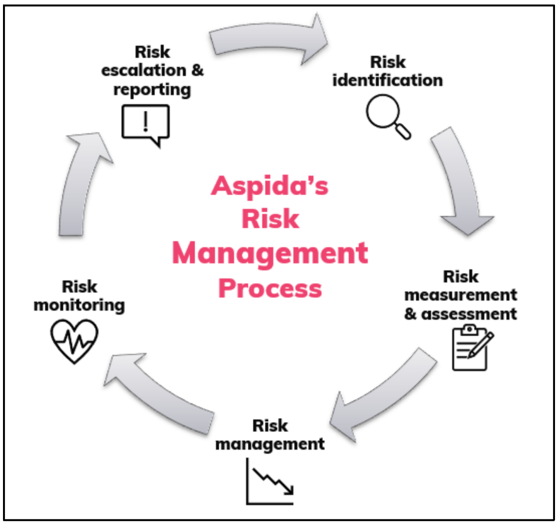
2.3 Risk management and solvency self-assessment

2.3.1 Risk management process & procedures to identify, measure, monitor and report on risk exposures

Risk Framework

Aspida Re's ERM framework establishes a formal, systematic and integrated approach to identifying, assessing, managing and monitoring and reporting risks within the organization. The framework is based on a Group-wide enterprise risk taxonomy and supported by policies, procedures, controls and management reporting, implemented by employees across the organization.

Effective risk oversight is an important priority for both management and our Board, and we place strong emphasis on ensuring we have a robust risk management framework to identify, measure, manage, monitor and report on risks that affect the achievement of our strategic, operational and financial objectives.



Risk Strategy

Our risk framework is set and developed relative to the strategic objectives of the business. At a high level, we aim to:

- Develop insurance products that are aligned to our overall strategic objectives
- Accept risks that are aligned to our overall objectives
- Avoid risks that are not aligned to our strategy
- Risk transfer through insurance and reinsurance
- Seek investment risk where it is adequately rewarded and in line with investment guidelines
- Manage risks within the limits of our prescribed risk appetite and as directed through defined corporate policies:
  - Establish measures that aid in the quantification of risk or performance
  - Develop stress tests / scenarios to understand overall assessment of our exposure to key risks
  - Establish risk limits where monitoring and / or management action is to be taken

- Develop mitigation plans that manages any residual risk(s) remaining to align to our risk appetite

As the Company grows, the controls and governance structure is continuously refined to ensure that it remains appropriate to the nature, scale and complexity of the business. We strive to embed our risk strategy within the business by ensuring that risk is at the forefront of our day-to-day decisions – from how we manage the business, to how challenges and opportunities are assessed.

Risk Culture

Aspida Re recognizes that a robust risk culture is paramount to our organization's success in managing and mitigating risks effectively:

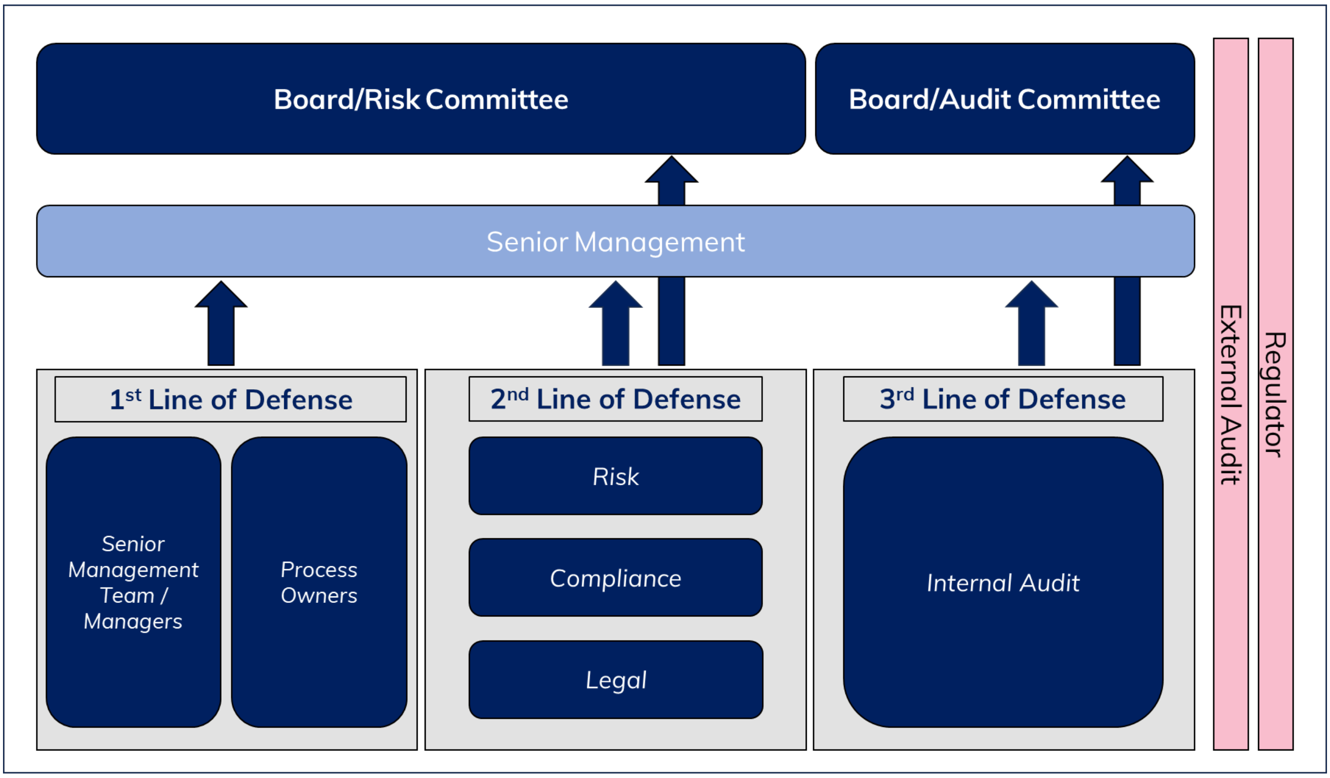
- Aspida Re is committed to fostering a strong risk-aware culture throughout the organization and continuous efforts are made to develop and strengthen the risk culture
- We encourage proactive risk management by being agile and responsive to change around us – all employees are responsible for identifying and reporting risks promptly
- We encourage open communication regarding risks and risk management among all employees
- We are committed to providing ongoing training and education on risk management principles and practices to employees, to enhance risk awareness and understanding

Risk Governance

The Board is ultimately responsible for oversight of the risk management framework. The ongoing and day-to-day management of the ERM framework is overseen by the Chief Risk Officer (or Deputy Chief Risk Officer) with the input of other senior management within the organization. The Board and respective Committees receive management information from senior management on at least a quarterly basis covering updates and topics related to risks within the Group risk taxonomy.

Group employees are responsible for the effective implementation and operation of processes and controls.

The Company utilizes the Three Lines of Defense model:



The First Line of Defense:

The first line of defense ("Line 1") encompasses the day-to-day operations of an organization. It represents front-line employees and management who are responsible for identifying, assessing, and managing risks within their respective areas of expertise. These individuals are closest to the processes, activities, and transactions that generate risk. They play a critical role in implementing risk controls by ensuring compliance with policies, procedures and controls, and promptly addressing risks as per the risk management strategy. By embedding risk management practices into their routine operations, Line 1 ensures that risks are proactively managed at their source, contributing to the organization's overall resilience and success.

Each risk within the Group risk taxonomy has an associated risk owner. Each owner is accountable for risk assessment, measurement, and mitigation efforts.

The Second Line of Defense:

The second line of defense ("Line 2") is an independent oversight function that supports and guides the operational areas.

It includes risk management, compliance, and control functions that provide expertise and guidance on risk identification, assessment, and mitigation. Line 2 professionals work collaboratively with Line 1 to establish risk frameworks, develop policies and controls, and monitor compliance with regulatory requirements and internal standards. The second-line function enables the monitoring of existing risks and the identification of emerging risks in the daily operations of the business.

They provide valuable insights, assess the effectiveness of risk controls, and offer guidance

on risk appetite and tolerance. By functioning independently from Line 1, Line 2 ensures a checks-and-balances system that enhances the organization's risk management capabilities and ongoing regulatory compliance.
Led by the Chief Risk Officer (or Deputy Chief Risk Officer), the focus is to facilitate an efficient, effective and consistent approach to risk management across the business.

The accountability for the implementation, monitoring and oversight of our risk appetite is aligned, monitored and maintained by our Chief Risk Officer (or Deputy Chief Risk Officer).
Risk tolerance/limits levels are monitored and any deviations from pre-established levels are reported to facilitate responsive action. The frequency of monitoring is dependent on the specific metric and is documented accordingly. This will be driven by factors such as the availability of data and the efficiency of the calculation.

The Third Line of Defense:

The third line of defense ("Line 3") comprises the internal audit function, which operates independently from both Line 1 and Line 2.

The Head of Internal Audit is responsible for the Internal Audit function and uses internal resources and third-party consultants as appropriate. Internal Audit has full and unrestricted access to the Company's operations, records and relevant third-party service provider records. For functional matters, the Head of Internal Audit reports to the Chair of the Audit and Compliance Committee; for administrative matters, reporting is to the Chief Executive Officer.

The Internal Audit function operates under an Internal Audit Charter approved by the Audit and Compliance Committee. It provides independent and objective assurance and advisory services intended to improve the effectiveness of risk management, control and governance processes. The Internal Audit Plan is reviewed and approved annually by the Audit and Compliance Committee.

2.3.2 Risk management and solvency self-assessment systems implementation

The Company's risk management framework is implemented and integrated into its operations through systems, processes and procedures, and controls developed by management. The Risk Function and Internal Audit take a lead role in reviewing the controls in place to ensure they are effective and provide recommendations to the Board on a quarterly basis.

On a quarterly basis, the Chief Risk Officer (or Deputy Chief Risk Officer) reports to the Board on the key developments with respect to the Company's material risks. The basis of this is the Risk Dashboard which is formulated through collaboration with different functions within the business, e.g. investments, actuarial, legal and operations.

Information arising from the quarterly risk review in conjunction with stress testing is used to complete the quarterly solvency assessments of the quantity and quality of capital required to support the Company's business goals given the amount of risk the Company has taken (or plans to take) on and business and investment environmental factors.

2.3.3 Relationship between solvency self-assessment, solvency needs & capital, and risk management

The Company's solvency self-assessment process links the risk management framework, including risk appetite, risk limits and the risk assessment process, and the Company's capital management framework.

The solvency self-assessment links the Company's risk management framework, risk appetite, risk limits and risk assessment process with capital management. It is intended to support short- and longer-term business planning and to evaluate the quality and quantity of capital needed to support the Company's activities under both normal and stressed conditions.

2.3.4 Solvency self-assessment approval process

The Deputy Chief Risk Officer is responsible for preparing the Company's solvency self-assessment. The assessment is provided to the Board for approval on an annual basis, with emphasis upon the Company's internal capital modelling, current and emerging risk exposures, and how the exposures are mitigated in the risk management framework.

2.4 Controls

2.4.1 Internal control system

The Company maintains systems, processes, and policies & procedures designed to promote reliable data and reporting, adherence to internal policies, and appropriate security measures. The Board and senior management are responsible for the internal control framework, and the Audit and Compliance Committee oversees its adequacy and effectiveness.

2.4.2 Compliance function

The Compliance function, supported by Risk and internal and external legal counsel, monitors applicable laws and regulations, tracks regulatory developments and supports legally appropriate business processes and transactions. The function also monitors compliance with organizational policies and procedures, and adherence to the Code of Conduct.

Policies and procedures include areas covering whistleblower, insider-trading, cybersecurity, conflict of interest and anti-money laundering and anti-terrorist, anti-bribery and corruption. Staff are also required to read and comply with the Employee Code of Conduct upon joining the Group and on an ongoing basis.

The Audit and Compliance Committee has oversight of compliance activities and reviews the effectiveness of the Company's system for monitoring compliance and any instances of non-compliance. All material findings are reported to the Board and remediated accordingly.

2.5 Actuarial function

The Actuarial Function is managed internally by the Deputy Chief Actuary.

The Actuarial team is responsible for the following:

- Computation of actuarial items (e.g., reserves) under US GAAP and EBS
- Pricing and underwriting
- Stress & scenario testing

- Maintenance of actuarial data and controls
- Updating actuarial assumptions / experience studies and methodologies
- Management information reporting

Policyholder and reinsurance obligations are reviewed quarterly by the management team including the CEO, CFO, as well as the Audit and Compliance Committee and Board. On an annual basis the reserves and assumptions are also independently reviewed by auditors for both GAAP and Bermuda Statutory Financial Statements, while the Approved Actuary opines on the reasonableness of the EBS Technical Provisions ("TP").

2.6 Outsourcing

2.6.1 Outsourcing policy and key functions that have been outsourced

The Company maintains an Outsourcing Policy and a Procurement and Vendor Management Policy to support oversight and accountability for material outsourced arrangements, including intra-group and third-party services.

Prior to entering into an outsourcing arrangement, the Company performs a materiality assessment and a risk assessment. The materiality assessment evaluates the risks associated with the activity. If the activity is deemed material, the Company will include it in the outsourcing register for ongoing monitoring. The risk assessment includes considerations for business continuity and contingency planning, which must be documented.

All material outsourcing services will include written, legally binding Service Level Agreements ("SLA"). The SLA documents all components of the outsourcing arrangement between the parties, specifying the content, frequency and format of the service being provided.

Key requirements of the Outsourcing Policy include the following:

- Reviewing the performance of outsourced service providers against the agreed SLA and any identified Key Performance Indicators (KPI's), against which performance can be measured to ensure that the Company's requirements are met to an appropriate standard.
- All material outsourcing arrangements are organized such that appropriate reporting capabilities are in place including meetings / other forms of communication, to ensure effective management and oversight of outsourced arrangements and the ability to identify potential problems at an early stage.
- Quarterly updates are also provided to the Board to ensure that they have adequate oversight of each of the material outsourced services.

The Company utilizes several third-party outsourced service providers, including certain services pertaining to Internal Audit, investment accounting, corporate secretarial duties, and human resources.

The Company also employs high-quality external professional service firms, as required, to provide subject matter expertise to support management and the Board in ensuring compliance with emerging changes in areas such as legislation and regulation.

2.6.2 Material intra-group outsourcing

The Company has an IMA with its affiliate, AIS, pursuant to which it outsources certain tasks related to investment management, capital management, asset liability management ("ALM"), and corporate development services.
The Company also utilizes its affiliated service company, AFS, for administrative services, including financial reporting, investment accounting, treasury, financial planning & analysis, information technology, legal and actuarial activities.

Aspida Re also received services from Aspida Re Services, Ltd., a Bermuda- based service entity, which employs all Group Bermuda based staff.

These arrangements are subject to full oversight and approval by Aspida Re's management.

2.7 **Other material information**

No other material information to report.

3 Risk Profile

As a reinsurer based in Bermuda, the Company operates within an asset-intensive reinsurance landscape, aligning closely with the Company's strategic business objectives. As such, the most significant risks facing the Company predominantly stem from market risk, liquidity risk and credit risk. The Company maintains a moderate-to-minimal exposure to insurance risk.

3.1 Material risk exposure during the reporting period

Market risk exposures are largely driven by movements in interest rates and credit spreads, while credit risk is influenced by the inherent creditworthiness of counterparties, indicated by counterparty default and downgrade risks. Additionally, due to the nature of structured assets held by the Company, liquidity risks are also a significant consideration.

Insurance risk primarily arises from lapse risk and longevity risk in the context of policyholder utilization on Fixed Index Annuity ("FIA") Guaranteed Lifetime Withdrawal Benefit ("GLWB") riders. Mortality risk is not currently a significant risk given Aspida Re's product mix. Furthermore, morbidity risk is not a preferred risk within our established risk appetite.
Aspida Re's risk appetite considers material risks in the business under the following risk taxonomy.

Strategic Risk: The risk of losses or adverse consequences arising from plans designed to achieve the strategic objectives, failing to produce the desired results, or not being executed as intended. It also encompasses the risk of change in external forces such as changes in customer preference, competitive landscape, or business cycle that may affect the Group's ability to meet its growth and profit objectives.

Market Risk: The risk of loss due to fluctuations in the values of assets, liabilities, future earning streams and/or cash flows resulting from changes in market factors and the resulting change in asset and liability behavior relative to one another.

Credit Risk: The risk of a loss caused by a counterparty's failure to repay its debt or honour its contractual obligations. This includes the risk that amounts collected are less than those contractually due or are not remitted on a timely basis. Credit risk can arise in three main forms:

- Default risk – the risk of losses due to an issuer defaulting on their obligations or unable to make payment in a timely manner;
- Downgrade risk / credit migration risk – the risk of loss caused by a fall in credit ratings;
- Credit spread risk - the risk of adverse market movements due to movements in credit spread.

Liquidity Risk: The risk of loss arising due to the inability to meet obligations as they arise due to a mismatch between asset and liability cash flows. It may also arise due to not having sufficient liquid, marketable assets to cover immediate or unexpected financial needs, leading to realized losses due to a need to sell assets at an inopportune time.

Insurance Risk: The potential loss resulting from insurance events, in respect of risks inherent within our business. These risks include mortality risk (primarily on life insurance products), longevity risk (primarily on annuity and payout coverages), morbidity risk (on disability or critical illness coverages), claims risk (on medical or other coverages), lapse risk, expense risk, policyholder behavior (on most coverages), and other associated risks inherent to the life, health and annuity market in which we operate.

Legal, Regulatory and Compliance Risk: Legal risk is the risk of financial or reputational loss that can result from lack of awareness or misunderstanding of the way laws and regulations apply to our business, including its relationships, processes, products and services. Regulatory risk and compliance may become legal risks;

- Regulatory risk is the risk of loss from a change in laws and regulations that could potentially cause losses to the business;
- Compliance risk is the threat posed to a company's financial, organizational or reputational standing resulting from violations of laws, regulations, codes of conduct or corporate standards of practice.

Operational Risk: The risk of loss or other adverse consequences on business outcomes resulting from inadequate or failed internal processes, people and systems, or from external events.

Model Risk: The risk of loss from the weakness in models used to make decisions, measure financial exposures, and quantify risk initially and ongoing. These weaknesses include miss-estimate risk, miscalculation risk, variance risk, trend risk, non- accurate results, lack of models, mistakes in execution, frequency of review of experience, errors and misapplication, which may impact statutory or economic results. In large part, model risk is a part of the other risk categories.

Environmental, Social & Governance Risk ("ESG"): The risk of loss or other adverse consequences stemming from an environmental, social, or governance event. ESG factors are environmental, social and corporate governance conditions that are subject to uncertainty, through a variety of risk drivers, which may have either positive or negative impacts on the financial performance or solvency of an entity.

3.2 Risk mitigation

The following risk mitigation tools and techniques are used across the various risks faced by the business:

Strategic Risk

- *Executive group discussions* – this brings together a range of stakeholders and perspectives to create a holistic view of the risk factors affecting the business's key strategic objectives;

- *Underwriting Committee and monthly pipeline review* meetings – ensuring that the business's key strategic objectives are well understood by being selective towards the opportunities we allocate time and resources towards;
- *Staying abreast of industry trends* – includes being an active participant within the life and annuity space staying attuned to developments that would impact the products we sell and the organization overall as well as potentially helping shape regulation;
- *Capital planning* – in addition to the annual planning process, capital is consistently monitored on a quarterly basis, to both estimate any additional capital needs due to sales and market movements during the current quarter, as well as upcoming potential capital needs based on expectations for subsequent periods. Capital is sourced in a timely manner to ensure the Company continues to maintain a BSCR ratio within the target range;
- *Mergers and acquisitions* – ensure we have appropriate resources and expertise involved in all aspects of the due diligence and transition processes.

Market Risk

Interest rate risk

The ALM program utilizes AIS portfolio optimization and asset cash flow projections along with Aspida Re's actuarial models and capital tools to analyze the business under various accounting regimes and scenarios. The process and tools are subject to continuous enhancements and refinements.

The ALM program manages asset and liability duration with the use of investment strategy and derivatives. The Company monitors the cash flow mismatches , by projecting asset and liability cash flows at both the treaty level and the legal entity level. Each reinsurance agreement has investment guidelines and, where applicable, duration mismatch limits and hedging strategies. Aspida Re manages both its investment allocation and its duration matching within treaty specific requirements and the Company's guidelines / limits.

Additionally, stress and scenario testing encompassing both BMA prescribed and AIS / Aspida Re in-house scenarios, is performed on our investment portfolios to help ensure asset adequacy with respect to our liability obligations, capital stability, and solvency.

Foreign Exchange Risk

The Company manages its foreign exchange exposure with an active FX hedging program. The program mitigates currency mismatch between USD-denominated assets and foreign currency denominated liabilities in compliance with the Company's Derivatives Use Plan.

Equity and alternatives risk

Equity markets impact Aspida Re's performance in two ways:

1. The first is the payoff of the index credits and corresponding hedges;
2. The second is the performance of Aspida Re's equity or other alternative asset investments.

Aspida Re's hedging program is designed to limit the profit and loss impact of equity return volatility on Aspida Re's FIA business. Hedging must be performed in accordance with the Company's hedging strategy and Derivatives Use Plan.

Aspida Re selects high quality equity and alternative asset investments which are under a buy and hold strategy and therefore the Company is not considered a forced seller of alternative assets. Additionally, any investments into these asset classes align to investment guidelines.

Credit Risk

Putting aside credit spread risk, this risk primarily encompasses our counterparty risk with respect to investments and our exposure to a party unable to fulfil their obligations. Aspida Re also has counterparty credit exposures to derivative counterparties on the FIA hedges.

- Diversification – selecting assets across different issuers, asset classes, industry sectors and geographies; concentration limits are in place as part of Aspida Re's investment guidelines;
- Investment guideline limits – the Company has various internal and treaty-based limits on credit risk;
- Counterparty Selection – partnering and transacting with counterparties who have a high credit quality in conjunction with a robust monitoring program.

Liquidity Risk

The Company maintains a robust Liquidity Risk Management Framework in full compliance with BMA requirements, ensuring the effective identification, measurement, monitoring, and control of liquidity risk. A formal Liquidity Risk Management Program and Policy, approved by the Board, outlines strategies, policies, and procedures tailored to the Company's risk profile and business activities.

To ensure resilience, the Company has established clear liquidity metrics and thresholds, conducts regular stress testing under both moderate and severe scenarios, and ensures sufficient liquidity buffers are maintained to cover potential liquidity shortfalls. Additionally, a contingency plan is in place to address potential liquidity needs, reinforcing the Company's ability to meet obligations under stressed conditions. These measures demonstrate the Company's commitment to strong governance and liquidity risk management in line with regulatory expectations.

Understanding and quantifying how different extreme capital market conditions impact policyholder behaviors is critical in helping the Company calibrate the appropriate allocation to less liquid assets. Thus asset-liability duration and cash flow matching projections and stress testing are pivotal in managing this risk.

In addition to adhering to our existing investment guidelines and limits relating to less liquid asset classes, other mitigation options include stress testing and ensuring the availability of alternate sources of liquidity.

Insurance Risk

- Comprehensive consideration of product selection during the treaty underwriting process, coupled with thorough analysis of the inherent product features within the assumed business;
- Performance of stress and scenario testing to assess and understand the

factors influencing our business, including available management actions;

- Management of insurance risk and volumes by monitoring the competitive environment and setting crediting rates appropriately with cedents;
- Establishment of robust processes for monitoring experience and analyzing emerging trends, enabling early insights into evolving insurance trends.

Legal, Regulatory and Compliance Risk

The Company manages legal, regulatory, and compliance risk via several coordinated frameworks of policies, controls, and oversight functions designed to ensure adherence to applicable laws, regulatory requirements, and internal standards. This includes, but is not limited to the following:

- Staying abreast of regulatory changes within the industry and industry trends;
- Maintaining an open dialogue with our regulators on emerging items, including proactively scheduling periodic meetings to update regulators on the Group;
- Ensuring that reinsurance treaty terms are clearly defined;
- Robust policy review and governance;
- Performing post-implementation internal and external audits and assessments to verify compliance with legal and regulatory requirements.

Operational Risk

Operational risk is managed as part of the day-to-day business operations. The Company strives to continuously improve and embed its policies, procedures, and controls across the business. The success of our operational control processes is further dependent on the implementation of an effective ERM program.

Some examples of Operational Risk mitigation include:

- Embedding and fostering a strong risk culture across the Group toward identifying and managing risk in addition to developing a strong control environment;
- Focusing on employee retention and ensuring that employees are engaged and aligned with business priorities, which is implemented via appropriate remuneration, incentives, performance reviews and succession planning;
- A Cybersecurity Policy & Program establishing the expectations regarding people, processes and technologies that maintain the confidentiality, integrity, and availability of the Group's data and information systems as it undertakes to protect the Company and stakeholders (including policyholders, partners, etc.);
- Business continuity and disaster recovery exercises are undertaken at least annually;
- Ongoing employee security awareness and compliance training and testing;
- Our policies and procedures are subject to continuous enhancements and periodic updates to ensure that they are proportional to the nature, size, and complexities of our business.

Model Risk

The Company adheres fully to requirements by upholding a robust model governance framework that defines clear ownership, accountability, and oversight for all aspects of model creation, modification, and validation.

- To support this, the Company has established Model Risk Management, Model Validation, and Data Quality policies, ensuring a structured and risk-based approach to model governance.
- The Company emphasizes documentation and transparency, maintaining detailed records of material model design, assumptions, limitations, and validation outcomes. Clear audit trails are in place to substantiate any material model updates or overrides, ensuring both regulatory compliance and accountability. These practices underscore our commitment to strong governance, risk management, and continuous improvements.
- Internal Audit, as the third line of defense, plays a critical role in ensuring that model validators provide appropriate challenge and that the Model Risk management Framework functions effectively.

ESG Risk

The Company continues to monitor evolving BMA guidance on ESG and, in collaboration with the Ares team, is actively assessing methodologies to measure climate risk for assets and advancing efforts to footprint the portfolio.

While the Company's financial profile is not directly exposed to physical risks of climate change due to the nature of the risks it reinsures, the asset-intensive nature of its business strategy means there may be potential impacts from transition risks on the asset portfolio.

With Ares being the ultimate owner, and asset management and asset sourcing being outsourced primarily to Ares, the Group leverages Ares' differentiated approach to ESG.

Ares pursues an ESG strategy that is designed to address the most material issues to the business, starting with a Corporate Sustainability program – focused on operations and then scale through a Responsible Investment program that focuses on the investment platform.

Aspida Re recognizes that the landscape of ESG risks is evolving, and our flexible approach allows us to adapt to changing circumstances and prioritize actions that align with our long-term sustainability goals. Additionally, the Company has a robust Business Continuity Plan ("BCP") in place in the event climate change impacts its ability to operate in a traditional office environment.

3.3 Material risk concentrations

The Company has in place various risk concentration tolerances for Market and Credit Risks to monitor and manage the concentration of any single risk type. On a regular basis, the Company reviews its asset concentration with respect to asset class, counterparties, and credit quality, ensuring adherence to its investment guidelines.

3.4 Investment in assets and the prudent person principles

As per the BMA's Insurance Code of Conduct, the "prudent person" principle requires that an individual entrusted with the management of a client's funds may only invest in instruments that any reasonable individual with objectives of capital preservation and return on investment would own. This principle requires that the insurer, in determining the appropriate investment strategy and policy, may only assume investment risks that it can properly identify, measure, respond to, monitor, control, and report while taking into consideration its capital requirements and adequacy, short-term and long-term liquidity requirements, and policyholder obligations. Further, the insurer must ensure that investment decisions have been executed in the best interests of its policyholders.

Aspida Re adheres to the prudent person principle in relation to the investment of its assets. Its investment strategy is to optimize its investments whilst meeting its contractual obligations with cash flow profiles tailored to meet Aspida Re's ALM and risk objectives. Under the IMA with AIS, AIS has discretionary authority to manage the investment and reinvestment of the Company's investible assets in accordance with the investment guidelines specified in each reinsurance treaty and the Company's investment guidelines. Aspida Re's investment thesis is to preserve flexibility around our credit, asset liability management, and liquidity profile as liabilities are sourced.
AIS oversees and manages Aspida Re's investments, with appropriate reporting to Aspida Re management, Investment and Risk Committees of the Board, and the Board itself. Aspida Re's investment policy has been approved by the Board's Investment Committee and is subject to Investment Committee and ultimately Board monitoring, oversight and approval.

Investment guidelines require that portfolios are well diversified whilst ensuring securities are high-quality, liquid and stable to support the Company's obligations as they become due. The Company has specific exposure limits established by issuers, asset classes, industry sectors and geographies. The Company oversees compliance against the limits through a regular review of each portfolio.
These guidelines are reviewed at least annually or more frequently if any significant deviations have occurred.

3.5 Stress testing and sensitivity analysis to assess material risks

The Company performs various stress tests to evaluate the adequacy of its capital and liquidity whilst ensuring that regulatory requirements are met. Stress and scenario testing is also utilized to assess and understand the factors influencing our business, including available management actions to manage risks. Stress and scenario testing forms part of the Company's solvency self-assessment process in assessing the Company's ability to meet solvency and liquidity requirements under stressed conditions.

A stress test aims to not only assess the impact of single events by evaluating several statistically defined possibilities, but also highlights the materiality of the risk for the Company given the size of the impact relative to its surplus. Scenario testing focuses on assessing the impact on the business of a wide-scale event or a series of events.

Key focus areas of our stress testing are market, credit and insurance risk. The selection of the stress and scenario tests ensures coverage of all material risks, including emerging risks and topical areas of Board and/or regulatory focus. The selected tests are reviewed and approved annually by management.

In particular, the Company performs periodic stress tests on the following key assumptions:

- Investment risk including:
    - Interest rate sensitivity;
    - Credit spreads and reinvestment risk;
    - Equity market performance.
- Insurance risk including:
    - Lapses (Base levels, shock levels & dynamic);
    - GLWB rider utilization;
    - Longevity / mortality.
- Expense risk;
- Other (reverse stress testing, extreme stresses and other qualitative what-if events as necessary).

3.6 Other material information

No other material information to report.

4 Solvency Valuation

4.1 Derive the value of each asset class

The Company has applied the valuation principles set out in the BMA's 'Guidance Notes for Commercial Insurers and Insurance Groups' Statutory Reporting Regime, together with related clarifications, in determining EBS asset values. For EBS purposes, investments are measured at fair value.

The Company measures the fair value of its securities based on assumptions used by market participants in pricing the security. The most appropriate valuation methodology is selected based on the specific characteristics of the fixed maturity security and the Company will then consistently apply the valuation methodology to measure the security's fair value. The Company's fair value measurement is based on a market approach, which utilizes prices and other relevant information generated by market transactions involving identical or comparable securities.

The table illustrates the EBS value of each material class of asset for the Company at December 31, 2025. In the sections following the table, further details are provided regarding the valuation approach for each material asset class.

Investments ($'000s)	2025	2024
Available-for-sale securities	1,577,250	1,154,775
Equity	116,918	68,757
Funds withheld at interest	10,848,321	10,164,037
Derivative assets	90,032	85,190
Total Investments	**12,632,521**	**11,472,759**

Other ($'000s)	2025	2024
Cash and cash equivalents	358,932	235,859
Letters of credit	150,000	100,000
Restricted cash	81,222	12,771
Reinsurance recoverable	22,778	57,995
Other	76,993	50,211
Total Other Assets	**689,925**	**456,836**
Total Assets	**13,322,446**	**11,929,595**

Available-for-sale ("AFS") securities

The Company's fixed-maturity securities are classified as AFS and reported at fair value on the Balance Sheets with unrealized gains and losses, net of allowances for expected credit losses, tax and adjustments to deferred acquisition costs, deferred sales inducements, value of business acquired ("DAC, DSI, VOBA respectively") and future policy benefits, if applicable, in accumulated other comprehensive income (loss) ("AOCI").

Sales of securities are determined on a specific identification basis. Interest income is recognized when earned using an effective yield method based on the economic life of the securities, giving effect to amortization of premium and accretion of discount. The amortization of premium and accretion of discount also takes into consideration call and maturity dates.

Funds withheld at interest

Funds withheld at interest represent a receivable for amounts contractually withheld by ceding companies in accordance with FWH and modified coinsurance ("MODCO") reinsurance agreements in which the Company acts as reinsurer.

Generally, assets equal to statutory reserves are withheld and legally owned by the ceding company. Any excess or shortfall is settled periodically as detailed within each reinsurance agreement. Although the assets in FWH transactions are legally owned by the ceding company, the assets are held separately from the general account of the cedents and all economic rights and obligations on the assets accrue to the Company. The underlying agreements typically contain an embedded derivative, as discussed below.

Derivative assets

We invest in equity options to hedge the risks associated with our index annuity products and reinsurance agreements. Equity options are financial instruments with values that are derived from financial indices. Derivative contracts can be exchange traded or over-the-counter.

Over-the-counter derivatives are valued using valuation models or an income approach using third-party broker valuations. Valuation models require a variety of inputs, including contractual terms, market prices, yield curves, credit curves, measures of volatility, prepayment rates and correlation of the inputs.

We consider and incorporate counterparty credit risk into the valuation process through counterparty credit rating requirements and monitoring of overall exposure. We also evaluate and include our own nonperformance risk in valuing derivatives. The majority of our derivatives trade in liquid markets; therefore, we can verify model inputs and model selection does not involve significant management judgment. We record these transactions on a trade date basis.

Cash and cash equivalents

Cash and cash equivalents consist of cash at banks, highly liquid securities, and other investments with an original or remaining maturity of three months or less at the date of purchase. We estimate the fair value for cash equivalents based on quoted market prices.

Restricted cash

Restricted cash primarily consists of cash and cash equivalents held in trusts as part of certain reinsurance agreements to secure statutory reserves and liabilities of the insured parties.

Reinsurance recoverable

Reinsurance amounts receivable represent amounts due from cedents on a net settlement basis. Such amounts are recorded at fair value in accordance with US GAAP.

4.2 Derive the value of technical provisions

The Company values technical provisions in accordance with the BMA's EBS framework. Technical provisions are measured on a fair value basis and comprise the sum of the Best Estimate Liability ("BEL") and the risk margin.

The BEL component is set primarily using the Scenario Based Approach ("SBA"). Under this method, the Company projects both asset and liability cash flows using best estimate assumptions under each of the eight BMA prescribed interest rate scenarios. For each scenario, the Company determines the amount of assets required at inception to meet liability cash flows through run-off. The BEL is then set equal to the highest resulting asset requirement on an individual treaty basis.

The BEL also reflects a provision for the proportion of derivatives that Aspida Re holds to hedge its cedant's retained liabilities on two of its fixed index annuity treaties where Aspida Re performs hedging for both itself and the cedant. The liability is set equal to the market value of the derivative assets held by Aspida Re on behalf of the cedents and is consistent with the valuation methodology outlined for derivative instruments in section 4.1.

The Company holds a risk margin to reflect the uncertainty inherent in the underlying cash flows which is calculated using the cost of capital approach. Under this approach, non-hedgeable risk capital requirements under BSCR are forecasted for each projection period, multiplied by a cost of capital rate, and discounted back to the valuation date using a risk-free discount rate term structure. The cost of capital rate is assumed to be 6% and discounting is performed using BMA prescribed risk-free rate term structures.

As of December 31, 2025, the total EBS technical provisions were $11.9bn comprised of the following:

Year End EBS Technical Provisions ($'000s)	2025
Best Estimate Liability	11,836,814
Risk Margin	13,574
Total BEL and Risk Margin	**11,850,388**

Assumptions

Cash flow projections used to derive the BEL are determined using best estimate assumptions that are periodically reviewed by the Company and updated as emerging experience warrants. Key liability assumptions include those for lapses, partial withdrawals, mortality/longevity, GLWB utilization, and expenses. Best estimate assumptions typically start with original pricing assumptions and reflect adjustments for emerging experience over time. Assumptions are set with consideration to the Company's experience and relevant industry experience, incorporating actuarial and management judgment where appropriate.

Economic assumptions are set to reflect economic conditions and other capital markets assumptions including equity price and equity volatility associated with hedging as of the valuation date. Key assumptions include those related to asset default rates, investment expenses, reinvestment credit spreads, reinvestment strategies and interest rate scenarios. The Company works closely with its asset manager, AIS, in establishing asset related assumptions. Risk free yield curve and interest rate scenarios used in the SBA are consistent with those prescribed by the BMA.

Given the inherent uncertainty in setting assumptions, the Company also performs sensitivity testing on key best estimate assumptions to assess the impact to technical provisions should actual experience emerge adversely to best estimate assumptions.

4.3 Description of recoverable from reinsurance contracts

The Company does not have any ceded reinsurance.

4.4 Derive the value of other liabilities

The Company follows valuation principles outlined by the BMA's "Guidance Notes for Commercial Insurers and Insurance Groups' Statutory Reporting Regime" when calculating the value of other liabilities included under EBS.

The Company's other liabilities are primarily composed of related party payables, payables to brokers for security purchases, accrued expenses, and other liabilities. The valuation methodology for these liabilities is consistent with US GAAP. The liabilities are all short-term in nature and represent a reasonable approximation of fair value.

4.5 Any other material information

No additional material information to report.

5 Capital Management

5.1 Eligible capital

5.1.1 Capital management policy and process for capital needs, how capital is managed and material changes during the reporting period

The primary capital management objectives of the Company are to maintain a strong capital base to support policyholder obligations, the development of its business, and to meet or exceed the requirements of various stakeholders. Target capital levels are primarily based on regulatory and rating agency capital models, as well as collateral requirements included in reinsurance agreements with counterparties.

To maintain financial strength, the Company identifies, assesses, manages, and monitors the various risk sources it faces during the course of business, both currently and as anticipated over a multi-year planning horizon. Effective capital management is an organization-wide priority that follows a routine process involving senior management, finance teams, actuarial teams, asset managers and the parent company. This process culminates in an assessment of the capital necessary to maintain solvency at the thresholds targeted by senior management and the Board given the firm's risk profile. The Company's risk profile includes an assessment of the current and anticipated future material risks faced by the Company, the strength of the organization's ERM, capital measures derived from proprietary and vendor models, qualitative risks, stress testing, liquidity, and contingent financing mechanisms.

The Company received $200.0mm in capital infusions during the reporting period to support new business and to meet regulatory, rating agency, and reinsurance treaty requirements.

During 2025 the BMA approved an increase in the Tier 3 Irrevocable Standby Letter of Credit ("LOC") from $100mm to $150mm as eligible capital of the Company.

The Company ended 2025 with a BSCR ratio of 200%.

Aspida Re and its affiliate companies are expected to experience significant growth in the coming years, generating capital needs across the Aspida group. When considering allocation of capital, various opportunities across jurisdictions, products, and channels are factored in.

Growth is managed based on the availability of capital from the parent company of Aspida Holdings Ltd or Ares Insurance Partners, L.P. ("AIP"). AIP is in turn supported by a strong base of strategic investors with significant uncalled committed capital.

5.1.2 Description of the eligible capital categorized by tiers in accordance with the eligible capital rules

To enable the BMA to better assess the quality of the insurer's capital resources, a Class E insurer is required to disclose the makeup of its capital in accordance with a "3-tiered capital system". Highest quality capital is classified as Tier 1 Capital, lesser quality capital is classified as either Tier 2 or Tier 3 Capital.

As of December 31, 2025, Aspida Re's available Statutory Economic Capital and Surplus was $1,251mm with a solvency ratio of 200%. The eligible capital of $1,251mm is categorized as follows:

Eligible Capital (in $millions)	2025
Tier 1 Capital	1,101
Tier 2 Capital	—
Tier 3 Capital	150

5.1.3 Eligible capital categorized by tiers in accordance with the eligible capital rules used to meet ECR and MSM requirements of the Insurance Act

The Company has met its eligible capital requirements for both ECR and MSM.

5.1.4 Confirmation of eligible capital that is subject to transitional arrangements

Not applicable.

5.1.5 Identification of any factors affecting encumbrances on the availability and transferability of capital to meet the ECR

The Company has treaties with cedants that have certain collateralization requirements. Assets are held in trust or custody accounts and are released to the Company upon meeting funding obligations.

5.1.6 Identification of ancillary capital instruments approved by the authority

Not applicable.

5.1.7 Identification of differences in shareholder's equity as stated in the financial statements versus the available capital and surplus

Under U.S. GAAP, ASC 815, Derivatives and Hedging, requires certain funds withheld arrangements to be evaluated for embedded derivatives. Consistent with the guidance codified from DIG Issue B36, where such arrangements expose the Company to risks that are not clearly and closely related to the host contract, an embedded derivative is recognized and measured at fair value, with changes in fair value recorded in earnings.

The resulting fair value adjustments under U.S. GAAP give rise to differences between shareholders' equity reported in the U.S. GAAP financial statements and available capital and surplus reported in the Statutory Financial Statements. The Company has received approval from the Bermuda Monetary Authority under Section 6C of the Insurance Act 1978 to apply a permitted practice for statutory reporting purposes, whereby the fair value impact of the embedded derivative is excluded and the related assets are reported on an amortized cost basis.

5.2 Regulatory capital requirements

5.2.1 ECR and MSM requirements at the end of the reporting period

Class E insurers are required to maintain minimum capital and surplus that is equal to, or in excess of, an amount derived from the greater of 1) a risk-based capital model reflective of tail risks, 2) an asset-based formula, and 3) an $8.0mm floor.

The Company met the minimum requirements.

As of December 31, 2025, the Company's ECR and MSM regulatory capital requirements were as follows:

ECR Requirement (in $millions)	2025
Transition Enhanced Capital Requirement (TECR)	628
Actual Economic Capital and Surplus	1,251
MSM Requirement (in $millions)	**2025**
Minimum Margin of Solvency (MSM)	209
Actual Economic Capital and Surplus	1,251

This ECR represents the Transitional BSCR requirement, which reflects the 10-year linear grade-in period to fully transition from the 'old' 2018 BSCR methodology to the 'new' 2019 revised methodology, which came into effect on January 1, 2019. As of December 31, 2025, the transitional ECR was set to 70% of the 'new' basis and 30% of the 'old' basis. The result also reflects adoption of the BMA defined 2024 methodology, which is first applicable at December 31, 2024.

5.2.2 Identification of any non-compliance with the MSM and the ECR

Not applicable.

5.2.3 Description of the amount and circumstances surrounding the non-compliance, the remedial measures and their effectiveness

Not applicable.

5.2.4 Where the non-compliance is not resolved, a description of the amount of the non-compliance

Not applicable.

5.3 Approved internal capital model

5.3.1 Description of the purpose and scope of the business and risk areas where the internal model is used

Not applicable - the Company does not use an approved internal model to derive its ECR.

5.3.2 Where a partial internal model is used, description of the integration with the BSCR model

Not applicable.

5.3.3 Description of methods used in the internal model to calculate the ECR

Not applicable.

5.3.4 Description of aggregation methodologies and diversification effects

Not applicable.

5.3.5 Description of the main differences in the methods and assumptions used for the risk areas in the internal model versus the BSCR model

Not applicable.

5.3.6 Description of the nature & suitability of the data used in the internal model

Not applicable.

5.3.7 Any other material information

Not applicable.

6 Subsequent Events

Management has evaluated events occurring after December 31, 2025, through April 30, 2026, being the date on which the financial statements and this report were available to be issued, and identified no further subsequent events requiring disclosure.

7 Declaration

We, the undersigned of Aspida Life Re Ltd., declare that to the best of our knowledge and belief, the Financial Condition Report or the report on a significant event fairly represents the financial condition of the insurer in all material aspects.

DocuSigned by:

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Signed by:
David Florian, Chief Executive Officer
April 30, 2026

Signed by:

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Signed by:
Jenny Kane, Chief Operations Officer and
Principal Representative
April 30, 2026

8 Glossary

A

AIS

Ares Insurance Solutions LLC is Ares Management Corporation's dedicated, in-house team that seeks to provide solutions to Aspida Re, including: Asset Management, Capital Solutions and Corporate Development.

ALM

Asset Liability Management.

Ares

Ares Management Corporation (NYSE: ARES) is a leading global alternative investment manager offering clients complementary primary and secondary investment solutions across the credit, private equity, real estate and infrastructure asset classes.

B

Bermuda Monetary Authority (the "Authority")

The Bermuda Monetary Authority was established by statute in 1969. It supervises, regulates and inspects financial institutions operating in the jurisdiction. It also issues Bermuda's national currency, manages exchange control transactions, assists other authorities with the detection and prevention of financial crime, and advises Government on banking and other financial and monetary matters.

Best Estimate Liability ("BEL")

The BEL component is set primarily using the SBA. Under this method, the Company projects both asset and liability cash flows using best estimate assumptions for each of the interest rate scenarios prescribed by the BMA.

Bermuda Solvency Capital Requirement. ("BSCR")

The BSCR is the Authority's risk-based capital model, developed specifically to enhance its capital adequacy framework for the insurance sector. The model takes into account an insurer's risk profile, reflective of the inherent risk and complexity of the different lines of business it writes. The capital requirements subsequently placed on a firm will be based on the analysis resulting from application of the model, assisting the Authority in both measuring risk and determining appropriate capitalization for firms.

Board

Aspida Life Re's Board of Directors

C

CISSA

Commercial Insurer's Solvency Self-Assessment, a forward-looking assessment of own risks.

Company

Aspida Life Re Ltd.

E

Enhanced Capital Requirement ("ECR")

The ECR is the maximum of the MSM and BSCR requirements. The BMA imposes a target ECR coverage ratio of 120%.

Economic Balance Sheet ("EBS")

The EBS represents the regulatory capital balance sheet, comprising Technical Provisions, Assets and Capital Requirements as set out by the BMA regulations.

ERM

Enterprise Risk Management

ESG

Environmental, Social and Governance represent an organization's corporate financial interests that focus mainly on sustainable and ethical impacts.

F

FIA

Fixed Index Annuity

FWH

Funds Withheld

G

GLWB

Guaranteed Lifetime Withdrawal Benefit

I

IMA

Investment Management Agreement

M

MSM

Minimum Solvency Margin. The Minimum Solvency Margin (MSM) is a prescribed regulatory capital floor as a function of business volume.

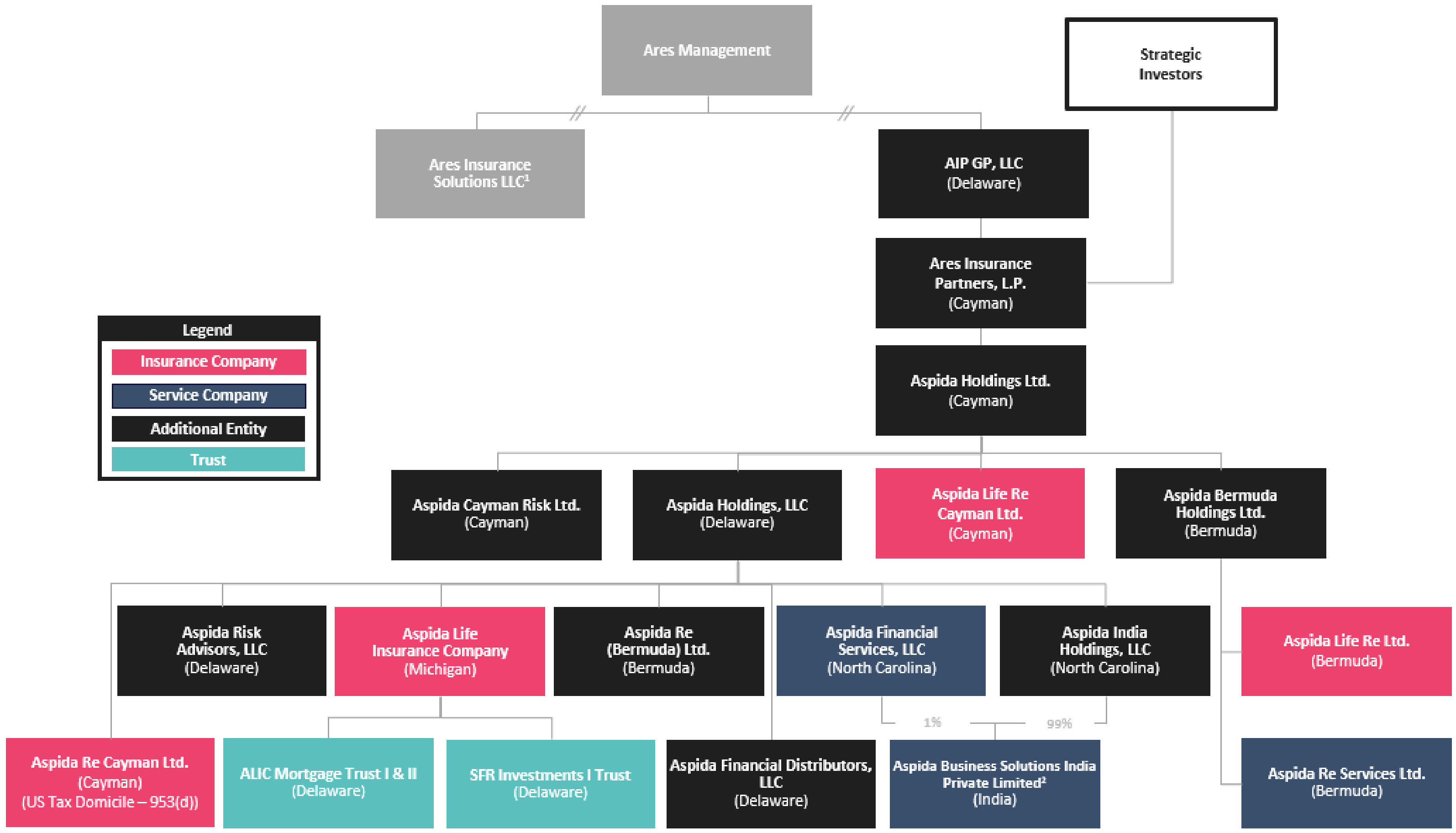
R

Risk Margin

The cost of providing funds to cover the Bermuda Solvency Capital Requirements over the lifetime of the associated insurance policies. The approach for calculating the risk margin is prescribed in the BMA regulations.

Appendix Group Structure

Aspida Group Legal Entity Organizational Structure



1. Ares Insurance Solutions LLC has entered into Investment Management and Strategic Services Agreements with Aspida Life Insurance Company, Aspida Life Re Ltd. and Aspida Re Cayman Ltd.
2. Aspida Financial Services, LLC is the Managing Partner with 1% interest and Aspida India Holdings, LLC owns the remaining 99%.